

September 16, 2025

Ms. Vanessa A. Countryman (via electronic submission)
Secretary, Securities and Exchange Commission
100 F Street, NE
Washington, D.C. 20549-1090

Re: File No. 4-862

Ladies & Gentlemen:

I appreciate the opportunity to provide my views to the Securities and Exchange Commission (the "Commission") in response to Commission Press Release No. 2025-99 (the "Press Release"),¹ in which the Commission solicits comments on Rule 611 under the Securities Exchange Act of 1934 (the "Exchange Act"),² commonly known as the "trade through rule" or "order protection rule", in advance of a roundtable to be held on the topic on September 18, 2025. Rule 611 was adopted by the Commission in 2005 as part of a package of market structure amendments to the Exchange Act known broadly as Regulation NMS ("Reg NMS").³

My career has been impacted by Rule 611 and related issues more than perhaps any other Commission regulation. I served as the Chief Operating Officer of Brut, LLC, an alternative trading system ("ATS"), in the days before Rule 611's existence and at the time Reg NMS was proposed in 2004. I became Chief Executive Officer of Direct Edge, originally an ATS operator, shortly after Reg NMS' implementation, and then led Direct Edge's transition to the operation of two Commission-licensed national securities exchanges. I have been intimately involved in various market structure debates over the last 20 years,⁴ and I feel I have a unique ability and responsibility to contribute to the discussion.

¹ Available at <https://www.sec.gov/newsroom/press-releases/2025-99-sec-announces-roundtable-trade-through-prohibitions> (July 21, 2025).

² 17 C.F.R. 242.611.

³ See generally "Regulation NMS", Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496 (June 29, 2005) ("Regulation NMS Adopting Release")

⁴ See, e.g., Letter from William O'Brien, COO, Brut, LLC, to Jonathan G. Katz, Secretary, Commission, dated October 24, 2003, available at <https://www.sec.gov/rules/sro/nasd2003128/wobrien10242003.htm> (regarding Exchange Act Release No. 48501).

Simply put, Rule 611 has long since served its original purpose and no longer is necessary. While at its implementation it was an imperfect, but useful tool to spur the modernization of certain market participants and their technology, that time has long passed. The drawbacks of Rule 611—the need for government price fixing, the imposition of mandatory infrastructure costs on market participants and the introduction of needless market structure complexity—have grown significantly in relation to the rule’s benefits in recent years. Going forward, the rule serves as a barrier to market modernization on minimum price variations and other initiatives. It is time for Rule 611 to go, or at a minimum be significantly scaled back.

The Past

Rule 611 was created based on the competitive and technological conditions of a market structure that has ceased to exist. It is easy to forget what market structure looked like before Reg NMS, and how that history shaped Rule 611’s creation. US equities markets were bifurcated between exchange-listed stocks (most actively-traded stocks were listed on the NYSE) and “over-the-counter” (“OTC”) stocks that primarily traded using technology provided by NASDAQ when it was still a division of FINRA (then the NASD).⁵ My comments to the Commission regarding proposed Rule 611 in 2004 reflect this dichotomy:

“...the conceptual approach to trade-through reform... strike[s] an appropriate balance between competing national market system principles. For exchange-listed securities, it effectively would transition the existing Intermarket Trading System rule to a more effective enforcement regime while allowing for trader flexibility and maintaining minimum limit-order protection standards. With respect to Nasdaq-listed stocks, however, the high degree of automation and inter-market connectivity appear to make application of the rule irrelevant, imposing significant initial implementation costs and ongoing compliance burdens with no real incremental benefit.”⁶

⁵ NASDAQ did not offer a fully-automated execution system until the introduction of “SuperMontage” in 2002, and only became an independently-registered national securities exchange after the approval of Reg NMS in 2006.

⁶ Letter from William O’Brien, COO, Brut, LLC, to Jonathan G. Katz, Secretary, Commission, July 29, 2004, at 4, *available at* <https://www.sec.gov/files/rules/proposed/s71004/brut072904.pdf> (regarding Exchange Act Release No. 49325 (the “Reg NMS Proposing Release”)).

With respect to OTC stocks, the bigger concern historically was OTC market-making firms backing away from their posted quotations, rather than quotes being traded through. Market-market collusion and malfeasance led to a variety of Commission rules and other scrutiny that opened up the OTC market to competition. Electronic communications networks (“ECNs”) like BRUT, Instinet, Island and Archipelago took advantage and created all-electronic platforms open to all brokers and their customers. While traditional market makers were initially hesitant, they eventually embraced trading on these platforms (and many invested in them). These firms faced competition with each other on a newly-leveled playing field, were dealing with the consequences of decimalization, and chose to adapt. Displayed limit orders on ECNs in OTC securities were generally not traded through, even without a Commission rule. This led to Gerry Putnam, the founder of Archipelago, to tell Congress in 2004 that “a new trade-through rule is unnecessary in the OTC marketplace because competition has already driven the market to create its own means of price protection.”⁷

The situation for exchange-listed stocks, particularly those on the NYSE, was very different. A trade-through rule for these stocks already existed, in the form of the rules of the Intermarket Trading System (“ITS”) that connected all the exchanges. The only problem was that the rule was ignored by the NYSE as electronic trading became competitive. ECNs like Archipelago developed partnerships with legacy exchanges to display their quotations in ITS, only for the NYSE to ignore them. Archipelago even automated the act of creating ITS complaints over trade throughs, an application it named the “Whiner”.⁸ To be fair, the NYSE was only doing what the specialist firms clinging to their legacy monopolies wanted. They viewed competition as an existential threat and were not going to change unless forced to, and for a while they didn’t have to. Putnam again said it well - “industry insiders have known for years that the trade-through rule is the least enforced rule this side of the double nickel speed limit on America’s highways.”⁹

This was why Rule 611 was created, to drag the NYSE into the 21st century and create a market structure that was more uniformly open to electronic trading. With the adoption of this new regulation, the NYSE and its firms—despite their historical monopoly—were forced to change. Seeing the writing on the wall, the NYSE bought

⁷ Written Statement of Gerald D. Putnam, Chairman & CEO, Archipelago, concerning Regulation NMS and Developments in Market Structure, before the U.S. Senate Committee on Banking, Housing & Urban Affairs, July 21, 2004, at 8. Available at <https://www.banking.senate.gov/imo/media/doc/ACF2FD.pdf>.

⁸ *Id.*, at 9, n.9.

⁹ *Id.*, at 9.

Archipelago in 2005 and subsequently demutualized. Specialists transitioned into “electronic market makers” and preserved their role in capital formation while embracing electronic trading. All other legacy exchanges formed partnerships, were acquired or simply faded away. Rule 611 largely did what it was intended to do.

The Commission’s own past review of Rule 611’s purpose supports this view. In an April 30, 2015 memorandum to the SEC Market Structure Advisory Committee,¹⁰ the Commission’s Division of Trading and Markets noted how the Commission mapped the marketplace concerns that existed at the time to the objectives for the national market system set forth in Section 11A of the Exchange Act:

“With respect to Rule 611 specifically, the SEC emphasized that intermarket price protection was designed to promote national market system objectives in two primary ways:

- Promote the use of displayed “non-marketable” limit orders (orders with limit prices that are not immediately executable at current quoted prices).
- Minimize the extent to which investor market orders and marketable limit orders are executed at inferior prices.

Trade-through protection for displayed non-marketable limit orders was designed to encourage the use of such orders by increasing the likelihood of their receiving an execution in a timely manner. The SEC believed that greater use of displayed limit orders would improve the price discovery process and contribute to increased liquidity and depth.

Trade-through protection for market and marketable limit orders was designed both to prevent unfairness to investors and to facilitate broker-dealers’ ability to achieve best execution of their customer orders.”¹¹

Rule 611 was intended to ensure that better-priced limit orders on electronic venues weren’t ignored by the NYSE, and that brokers could place limit orders on such venues with confidence that they would be filled when they represented the best price.

¹⁰ Available at <https://www.sec.gov/spotlight/emsac/memo-rule-611-regulation-nms.pdf>.

¹¹ *Id.*, at 6.

The point of this history lesson is that, for Rule 611, it is “mission accomplished” and there’s no going back. All exchanges and brokers are fully electronic and have state-of-the-art order execution and routing technology at their disposal. Competitive pressures, best execution requirements and the threat of litigation all dictate that if any market participant routinely ignored easily-accessible better prices when executing customer orders or otherwise trading, there would be hell to pay. Government regulation should only exist when it serves a purpose. Given that Rule 611 achieved its purpose long ago, it simply no longer needs to exist. Phantom fears of a market structure regression where brokers and exchanges mishandle orders and routinely bypass opportunities to execute trades at better prices don’t provide an adequate justification for keeping Rule 611 on the books, especially when the rule’s negative impacts on current market structure are taken into account.

The Present

Rule 611 served a purpose, but also came with a cost, one that continues and to a degree intensifies to this day. These costs can be summed up as follows:

1. Government Distortion of Competition Among Venues

Rule 611 gives any exchange (or ATS providing its quotations to an exchange) a point-in-time monopoly. If said exchange’s quote is at the National Best Bid/Best Offer, as applicable (“NBBO”) market participants must attempt to execute against that quote before trading at an inferior price. This has led to a proliferation of venues, both in the equities and options markets, with questionable utility. Today there are sixteen registered national securities exchanges trading Reg NMS equities, half of which have less than one percent of consolidated market share.¹² All a new venue needs to do is post a quotation and the entire market must connect to its infrastructure, code to its systems and re-shape its trading algorithms to accommodate it.

New exchanges and other trading venues are welcome, but these venues should compete in the marketplace on their merits rather than being given mandatory customers by the government. Rule 611 was never intended for this purpose, and it should not be used as justification for the rule now. Large trading venues do not need the forced usage that Rule 611 demands. Small venues do not deserve it.

¹² See generally CBOE U.S. Equities Market Volume Summary, available at https://www.cboe.com/us/equities/market_share/.

2. Government Fixing of Rates Charged by Venues

Like many government regulations, Rule 611 as approved had only one guaranteed outcome - more government regulation. The routing and execution mandates of Rule 611 prompted concerns among market participants that exchanges and ATSs would use the rule to charge exorbitant fees to access protected quotes. Rather than providing flexibility and guidance that brokers could take venue access fees into account when choosing whether to route an order to a protected quote, the Commission chose to cap such access fees at \$.003 per share, a relatively arbitrary number that largely entrenched the electronic venue fee structures of the time.

Government rate-fixing is rarely the answer to a policy problem, and almost never works over an extended period of time. The access fee cap has been a significant impediment to innovation regarding the minimum price variation ("MPV"), which has the potential to reduce investor costs for actively traded stocks. The Commission of the previous administration proposed further rate-fixing to address this concern, a better choice would be to eliminate the root cause of the problem.

3. Pointless Market Structure Complexity

The success of Rule 611 has made it irrelevant, but the exchanges, ATS and brokers still need to navigate its complexity needlessly. The state-of-the-art technology that all market participants possess and other commercial considerations have produced several consequences for order handling:

- retail brokers have primarily outsourced their market order-execution function to wholesale firms. The Rule 606¹³ reports submitted quarterly by retail firms large and small show a vast preponderance of routing of market and marketable limit orders to wholesalers.
- wholesalers and other brokers using exchanges or other multi-participant venues directly generally do not want them to route orders to away venues on their behalf. To the extent an order routed to Venue A becomes marketable against a quotation posted on Venue B while in flight, the originating firm would much prefer to have that order cancelled back to

¹³ 17 C.F.R. 242.606.

them so they can access Venue B themselves, or modify it through price adjustment or converting it to a non-displayed order.

- exchanges and other trading venues must operate their markets to reflect these realities, both in their IT infrastructure and regulatory rulebooks, creating endless permutations regarding how an order is processed that increase the risks of both technological instability and claims of regulatory opacity.

Markets have and will always be complex and constantly evolving organisms, but regulation should contribute to that complexity only when needed. For Rule 611, that need has long since evaporated.

The Future

Rule 611 took a lot of thought to implement correctly, and a similar level of care should be used when unwinding it, reflecting both the rule itself and its current consequences on modern market structure. Here are my recommendations:

1. Rule 611 should be rescinded in its entirety. As discussed above, there is no measurable benefit from keeping this rule in place in any form;
2. Rule 612¹⁴ should be significantly amended so that exchanges and ATSS can quote and execute orders in whatever increment they so choose, subject to a truly *de minimis* increment (perhaps \$.0001);
3. Modify Rule 610¹⁵ to (a) cap exchange and ATS access fees at half of the relevant trading venue's chosen minimum quoting increment, so as to avoid creating incentives for unnatural quoting; and (b) end the prohibition on locked markets, coordinating with FINRA to make equivalent amendments to FINRA Rule 6240; and
4. Modify Rule 605¹⁶ so that reporting firms must disclose - as quantified by orders, shares, and dollar amount - how often they have knowingly executed orders at prices inferior to publicly available quotations at the time of execution, as measured by the timestamp of the order's execution.

¹⁴ 17 C.F.R. 242.612.

¹⁵ 17 C.F.R. 242.610.

¹⁶ 17 C.F.R. 242.605.

This package of reforms would unleash additional market center competition and innovation, save investors substantial sums of money when executing their market orders, and eliminate unnecessary complexity, while still allowing for investor protection.

These recommendations originate from a belief that currently the U.S. equities and options markets are incredibly efficient and fair, not because of Rule 611 and its progeny, but in spite of it. While there will always be bad actors, the combination of readily available technology, competitive commercial dynamics across all forms of intermediaries, and the general integrity of the industry and its members has created a marketplace that allows the average investor to achieve their financial goals with the greatest functionality and lowest cost in history. Today we have zero-commission retail equity trades, billions of dollars annually in price improvement above and beyond the NBBO, and products and functionality one could only dream of a scant few years ago. While some will look to take shortcuts and find loopholes, the franchise value generated by honoring the duty of best execution generally incentivizes doing the right thing by your customers over the long-term. With monopolies long obliterated and myriad other regulations policing broker and venue conduct, the need for the Commission to extensively micro-manage market structure in this fashion no longer exists. It is time to remove unnecessary guardrails in order to nurture an environment that fosters the next generation of market evolution.

That said, implementing these changes will need to be done carefully and over a period of time. Much of it will be affected by the definition of “publicly available quotations,” which I believe should be at the finest increment accepted and displayed by the securities information processors (“SIPs”) for market data. SIP technology and governance currently sits at the crossroads of the Market Data Infrastructure Rule¹⁷ - which has been mired in litigation for years - and the rule changes adopted in the waning days of the previous administration,¹⁸ some of which are set to begin implementation in November. Practical industry should be sought regarding the myriad technical, legal, regulatory and other consequences of unspinning the web that Rule 611, and Reg NMS generally, have woven.

¹⁷ See generally “Market Data Infrastructure”, Exchange Act Release No. 90610 (December 9, 2020), 89 FR 81620 (April 9, 2021).

¹⁸ See generally “Regulation NMS: Minimum Pricing Increments, Access Fees, and Transparency of Better Priced Orders”, Exchange Act Release No. 101070 (September 18, 2024), 89 FR 81620 (October 8, 2024).

Conclusion

The Commission should be commended for holding this roundtable and soliciting broader comments on Rule 611. It is never easy for a regulator to consider removing regulation that no longer serves a purpose, but it must be done. In his first inaugural address, Thomas Jefferson said: “wise and frugal government, which shall restrain men from injuring one another, shall leave them otherwise free to regulate their own pursuits of industry and improvement.”¹⁹ When it was proposed, Rule 611 was necessary to restrain a legacy monopoly from ignoring competition to the detriment of investors. But that era has long passed. The time is now for the Commission to retire Rule 611 and help usher in a new phase in market competition and innovation, to keep our markets the most efficient and transparent in the world for the decades to come.

I am happy to answer any questions regarding my comments and to participate in further discussions regarding Rule 611 and related issues in any way the Commission or its staff would find useful.

Sincerely,

/s/ William O’Brien

William O’Brien
Former CEO
Direct Edge

Cc: The Hon. Paul S. Atkins, Chairman
The Hon. Hester M. Peirce, Commissioner
The Hon. Caroline A. Crenshaw, Commissioner
The Hon. Mark T. Uyeda, Commissioner

¹⁹ Thomas Jefferson, First Inaugural Address (March 4, 1801), *available at* <https://founders.archives.gov/documents/Jefferson/01-33-02-0116-0004>.

Mr. Jamie Selway, Director, Division of Trading and Markets
Mr. Eric Juzenas, Associate Director, Division of Trading and Markets
Mr. Robert Fisher, Acting Director, Division of Economic and Risk Analysis